

**PARLIAMENT OF THE DEMOCRATIC
SOCIALIST REPUBLIC OF
SRI LANKA**

**MICROFINANCE AND CREDIT REGULATORY
AUTHORITY**

**A
Bill**

**to provide for the establishment of the Microfinance and Credit
Regulatory Authority of Sri Lanka; to regulate the moneylending business
and the microfinance business; to provide protection for the customers of
the moneylending business and the microfinance business; to repeal the
Microfinance Act, No. 6 of 2016; and to provide for matters connected
therewith or incidental thereto**

*Presented by the Prime Minister and Minister of Education,
Higher Education and Vocational Education
on 26th of November, 2025*

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Microfinance and Credit Regulatory Authority

L.D.-O 49/2025

AN ACT TO PROVIDE FOR THE ESTABLISHMENT OF THE MICROFINANCE AND CREDIT REGULATORY AUTHORITY OF SRI LANKA; TO REGULATE THE MONEYLENDING BUSINESS AND THE MICROFINANCE BUSINESS; TO PROVIDE PROTECTION FOR THE CUSTOMERS OF THE MONEYLENDING BUSINESS AND THE MICROFINANCE BUSINESS; TO REPEAL THE MICROFINANCE ACT, NO. 6 OF 2016; AND TO PROVIDE FOR MATTERS CONNECTED THEREWITH OR INCIDENTAL THERETO.

Be it enacted by the Parliament of the Democratic Socialist Republic of Sri Lanka as follows: -

1. (1) This Act may be cited as the Microfinance and Credit Regulatory Authority Act, No. of 2025. Short title
and date of
operation

5 (2) The provisions of this Act other than this section shall come into operation on such date as the Minister may appoint, by Order published in the *Gazette* (hereinafter referred to as the “appointed date”).

(3) The provisions of this section shall come into operation
10 on the date on which this Bill becomes an Act of Parliament.

PART I

ESTABLISHMENT OF THE MICROFINANCE AND CREDIT
REGULATORY AUTHORITY

15 2. (1) There shall be established an Authority which shall be called the Microfinance and Credit Regulatory Authority of Sri Lanka (in this Act referred to as the “Authority”). Establishment
of the
Microfinance
and Credit
Regulatory
Authority

(2) The Authority shall by the name assigned to it by subsection (1), be a body corporate, with perpetual succession and a common seal and may sue and be sued in such name.

5 **3.** The objects of the Authority shall be to – Objects of the
Authority

- (a) regulate and supervise licensed moneylenders;
- (b) regulate and supervise licensed microfinance institutions;
- 10 (c) coordinate with the Central Bank and the relevant regulatory authorities that regulate and supervise registered co-operative societies, samurdhi community based banks and samurdhi community based banking societies, Farmers' Organisations, stock brokers and insurance
- 15 business; and
- (d) protect the customers of licensed moneylenders and licensed microfinance institutions.

4. The powers, duties and functions of the Authority shall be to – Powers, duties
and functions
of the
Authority

- 20 (a) licence and regulate persons engaged in the moneylending business and the business of microfinance;
- (b) supervise persons engaged in the moneylending business and microfinance business;
- 25 (c) determine policies on market conduct and supervise and regulate the licencees in line with market developments;

- 5 (d) coordinate with the regulatory authorities including the Credit Information Bureau of Sri Lanka other than the Central Bank to implement a responsible lending culture among the licensed moneylenders and licensed microfinance institutions;
- 10 (e) liaise with and secure the co-operation of Government departments, State institutions, local authorities, public corporations, provincial authorities and other private or public bodies, governmental and non governmental organizations, or any other natural or legal person;
- 15 (f) conduct credit counseling and financial literacy programmes and awareness programmes on moneylending and microfinance, for the general public;
- 20 (g) establish a complaint handling mechanism to handle the complaints of the customers of licensed moneylending and licensed microfinance institutions and maintain a database of such complaints;
- (h) maintain a database of the licensed moneylenders and licensed microfinance institutions;
- 25 (i) conduct surveys and research on moneylending and microfinance activities;
- 30 (j) hold, take, give on lease, hire, sell, mortgage, grant, assign, exchange or otherwise dispose of the movable or immovable property belonging to the Authority;

(k) receive grants, gifts or donations in cash or kind:

5 Provided that, the Authority shall obtain the prior written approval of the Director-General of Department of External Resources of the Ministry of the Minister to whom the subject of Finance has been assigned in respect of all foreign grants, donations and bequeaths;

10 (l) enter into and execute, whether directly or through any officer or agent authorized in that behalf by the Authority, all such contracts or agreements as may be necessary, for the discharge of the functions of the Authority;

15 (m) open and maintain any account with any bank as it may think appropriate, and such account shall be operated in accordance with prevailing applicable written laws;

(n) manage, control, administer and operate the Fund of the Authority;

20 (o) make rules for the administration of the affairs of the Authority;

(p) subject to the provisions of section 15, outsource any of its functions as may be determined by the Authority;

25 (q) formulate a procedure for the appointment, promotion, remuneration and disciplinary control of the employees and the grant of leave and other emoluments of such employees;

(r) make rules for the payment of money out of the Fund of the Authority;

- (s) to levy fees or charges for any service rendered by the Authority; and
- (t) do all such other acts which may be incidental or conducive to the attainment of the objects of this Act or the exercise or discharge of powers and duties assigned to the Authority under this Act.

PART II

ADMINISTRATION AND MANAGEMENT OF THE AFFAIRS OF THE AUTHORITY

10 **5.** (1) The administration, management and control of the affairs of the Authority shall be vested in a Board of Directors (in this Act referred to as the “Board”).

Constitution
of the Board
of Directors

(2) The Board shall, for the purpose of administering the affairs of the Authority, exercise, perform and discharge the powers, duties and functions conferred on, assigned to or imposed on the Authority by this Act.

(3) The Board shall consist of –

(a) the following *ex-officio* members, namely –

- (i) Secretary to the Treasury or his representative who shall be a Deputy Secretary to the Treasury nominated by the Secretary to the Treasury;
- (ii) the Deputy Governor of the Central Bank in charge of financial system stability nominated by the Central Bank or in his absence a Deputy Governor nominated for the time being by the Central Bank; and

- (iii) the Registrar of Voluntary Social Service Organizations or his representative not below the rank of a Deputy Registrar of Voluntary Social Service Organizations;
- (b) the following four members appointed by the Minister (hereinafter referred to as “appointed members”):-
- (i) a member who has expertise, reached eminence and has experience in microfinance;
- (ii) a member who has expertise, reached eminence and has experience in one or more of the following fields:-
- (A) banking;
- (B) accounting;
- (C) law;
- (D) administration; or
- (E) any other relevant field; and
- (iii) two other members nominated by the Governor of the Central Bank who shall possess academic or professional qualifications and have experience in the fields of banking, finance, microfinance, accounting, law, administration or any other relevant discipline:

Provided that, out of the four appointed members at least one member shall be a female member.

- 30 **6.** (1) Secretary to the Treasury or a Deputy Secretary to the Treasury nominated by the Secretary to the Treasury shall be the Chairperson of the Authority.

(2) Where the Chairperson is temporarily unable to perform the duties of his office due to ill health, other infirmity, absence from Sri Lanka or any other cause, the Minister may appoint any other *ex-officio* member to act as the Chairperson in addition to his normal duties as a member.

7. A person shall be disqualified from being appointed or continuing as a member of the Authority, if such person –

Disqualifications
from being a
member of the
Authority

- 10 (a) is or becomes a Member of Parliament or of any Provincial Council or of any local authority or has been a Member of Parliament or of any Provincial Council or of any local authority during the two years immediately preceding the date of appointment;
- (b) is not or ceases to be a citizen of Sri Lanka;
- 15 (c) is found or declared to be of unsound mind under any law in force in Sri Lanka or any other country;
- 20 (d) is a person who, having been declared insolvent or bankrupt under any law in force in Sri Lanka or in any other country and is an undischarged insolvent or bankrupt;
- (e) is serving or has served a sentence of imprisonment or a suspended sentence imposed by any court in Sri Lanka or in any other country;
- 25 (f) holds or enjoys directly or indirectly any right or benefit under any contract made by or on behalf of the Authority; or
- 30 (g) has any financial or other interest as is likely to affect prejudicially the discharge by him of his functions as a member of the Authority.

8. Every appointed member of the Board shall, unless he earlier vacates office by resignation, death or removal, hold office for a period of three years from the date of his appointment and such member other than a member who is removed shall be eligible for re-appointment for not more than three further terms, whether consecutive or otherwise.

Term of office
of appointed
members of
the Board

9. (1) Any appointed member of the Board may at any time, resign from his office by a letter to that effect, addressed to the Minister and such resignation shall be effective from the date on which it is accepted by the Minister in writing.

Removal,
resignation etc.
of appointed
members

(2) Where any appointed member by reason of illness, infirmity or absence from Sri Lanka is temporarily unable to discharge the functions of his office, the Minister may, having regard to the provisions of paragraph (b) of subsection (3) of section 5 appoint some other person to act in his place:

Provided that, no such appointment shall be made for a period exceeding three months. Upon the expiration of the said period of three months, if the illness, infirmity or absence from Sri Lanka still continues, such member shall cease to hold office from the date of expiration of such period.

(3) The Minister may remove an appointed member from office for reasons assigned. An appointed member who has been removed from office shall not be eligible for reappointment as a member of the Board or to serve the Board in any other capacity.

(4) Where an appointed member dies, resigns or is removed from office, the Minister may having regard to the provisions of paragraph (b) of subsection (3) of section 5 appoint another person in his place and the person so appointed shall hold office for the unexpired period of the term of office of the member whom he succeeds.

10. (1) The meetings of the Board shall be held at least once in three months and the Chairperson may however call a special meeting if a need arises to discuss any matter of importance.

Quorum and
meetings of
the Board

5 (2) The quorum for a meeting of the Board shall be five members.

(3) The Chairperson and the Deputy Governor of the Central Bank shall be present at every meeting of the Board and the Chairperson shall preside at every such meeting.

10 (4) A meeting of the Board may be held either –

(a) by the number of members who constitute a quorum being assembled at a place, date and time appointed for the meeting; or

15 (b) by means of audio-visual communication by which all members participating and constituting a quorum can simultaneously see and hear each participating member for the duration of the meeting.

20 (5) The Board may invite any expert on a relevant subject matter or an official to attend the meetings of the Board for the purpose of obtaining their views for the effective discharge of the functions of the Board, but such person or official shall not have the right to vote at such meeting.

25 (6) All questions for decision at any meeting of the Board shall be decided by the vote of the majority of members present at such meeting. In the case of an equality of votes, the Chairperson shall, in addition to his vote have a casting vote.

30 (7) Subject to the preceding provisions of this section, the Board may regulate the procedure in relation to the meetings of the Board and the transaction of business at such meetings.

11. Subject to the provisions of section 10, the Board may act notwithstanding any vacancy among its members and any act or proceeding of the Board shall not be or deemed to be invalid by reason only of the existence of any vacancy among its members or any defect in the appointment of a member thereof. Acts or proceedings of the Board deemed not to be invalid by reason of any vacancy
12. The members of the Board, any expert or official shall be paid such allowance for each day on which he attends a meeting, in such manner and at such rates as may be determined by the Minister in accordance with the relevant Government circulars issued from time to time. Remuneration of the members of the Board, experts or officials
13. (1) The seal of the Authority shall be in the custody of such persons as the Board may decide from time to time. Seal of the Authority
- (2) The seal of the Authority may be altered in such manner as may be determined by the Board.
- (3) The seal of the Authority shall not be affixed to any instrument or document except with the sanction of the members of the Board and in the presence of any two members of the Board or any member of the Board and the Director-General, who shall sign the instrument or document in token of their presence.
- (4) The Board shall maintain a register of the instruments and documents to which the seal of the Authority has been affixed.
14. The Authority may where the members of the Board consider it necessary to do so, establish its branches at any place within Sri Lanka. Branches of the Authority
15. (1) The Authority may, whenever the Authority considers it necessary and expedient, delegate any of its powers or functions relevant to licencing, collection of any fees or charge levies under the Act and supervision of licensed moneylending and licensed microfinance Delegation of any power or function by the Authority

institutions to a District Secretary or to a Divisional Secretary of any Divisional Secretary's Division as the case may be, so however, that the Authority shall remain and continue to remain responsible for any act or thing done or omitted to be
5 done by such District Secretary or the Divisional Secretary of any Divisional Secretary's Division in the exercise and performance of such powers and functions delegated to him.

(2) The Authority may give such directions as the Authority may deem necessary, to any District Secretary or
10 to any Divisional Secretary of any Divisional Secretary's Division with regard to the effective implementation of the provisions of this Act and any directive or rule made thereunder and every such officer to whom any such direction is given shall be required to comply with the same.

15 **16.** The Authority may enter into any agreement or memorandum of understanding with any Government institution or organization or any of its agency or any local or foreign regulatory or supervisory authority in relation to exchange of information on any matter which comes within
20 the purview of this Act. Agreements with other institutions

PART III

DIRECTOR-GENERAL AND THE STAFF OF THE AUTHORITY

17. (1) The Authority shall, with the concurrence of the Minister, appoint a Director-General of the Authority, who
25 shall be the Chief Executive Officer and Secretary to the Authority. Director-General of the Authority

(2) The Director-General shall, subject to the general directions of the Authority on matters of policy and strategy, be charged with the direction of the business of the Authority,
30 the organization and execution of the powers, duties and functions of the Authority and the administrative control of the employees of the Authority.

(3) The Director-General may, with the approval in writing of the Authority, delegate in writing to any other employee of the Authority such of his powers, duties and functions as he may from time to time consider necessary
5 and the Director-General shall remain and continue to remain to be responsible for any act or thing done or omitted to be done by such employee in the exercise, performance and discharge of such powers, duties and functions delegated to him and any employee to whom any such powers, duties
10 or functions are so delegated shall exercise, perform and discharge them subject to the general or special direction of the Director-General.

(4) A person shall be disqualified from being appointed or continuing as the Director-General of the Authority, if
15 he –

(a) is or becomes a Member of Parliament or of any Provincial Council or of any local authority or has been a Member of Parliament or of any Provincial Council or of any local authority
20 during the two years immediately preceding the date of appointment;

(b) is not or ceases to be a citizen of Sri Lanka;

(c) is found or declared to be of unsound mind under any law in force in Sri Lanka or any other
25 country;

(d) is a person who, having been declared insolvent or bankrupt under any law in force in Sri Lanka or in any other country and is an undischarged insolvent or bankrupt;

(e) is serving or has served a sentence of imprisonment or a suspended sentence imposed by any court in Sri Lanka or in any other country;

30

- (f) holds or enjoys directly or indirectly any right or benefit under any contract made by or on behalf of the Authority; or
- 5 (g) has any financial or other interest as is likely to affect prejudicially the discharge by him of his functions as a member of the Authority.

(5) The Authority may with the concurrence of the Minister remove the Director-General from office if such person –

- 10 (a) becomes permanently incapable of performing his duties;
- (b) had done any act which in the opinion of the Authority is of a fraudulent or illegal character or is prejudicial to the interests of the Authority;
- 15 or
- (c) has failed to comply with any direction issued by the Authority.

(6) The Director-General shall be paid such remuneration as may be determined by the Authority.

20 **18.** (1) The Authority may, subject to the provisions of this Act, - Staff of the Authority

- (a) appoint, dismiss and exercise disciplinary control over such staff as may be deemed necessary by the Authority to carry out the functions of the Authority;
- 25 (b) determine the terms and conditions of service of the officers and employees of the Authority; and
- (c) fix the rates at which such officers and employees shall be remunerated in consultation with the Minister.
- 30

(2) Without prejudice to the provisions of subsection (1) of section 15, the Authority may in writing delegate to any officer of the Authority any of its powers under this Act, so however, that the Authority shall remain and continue
5 to remain responsible for any act or thing done or omitted to be done by such officer in the exercise of such powers delegated to him.

(3) Rules may be made by the Authority in respect of all or any of the matters referred to in subsection (1).

10 (4) Subject to and in accordance with such rules, if any, as may be made by the Authority on that behalf, the Authority may in writing authorise any officer of the Authority to represent the Authority for any of the purposes of this Act, so however, that the Authority shall remain to be responsible
15 for any act or thing done or omitted to be done by such officer in representing the Authority under such authorisation.

(5) At the request of the Authority any officer in the public service may, with the consent of such officer and the Public Service Commission be temporarily appointed to
20 the Authority for such period as may be determined by the Authority or with like consent be permanently appointed to such staff.

(6) Where any officer in the public service is temporarily appointed to the staff of the Authority, the provisions of
25 subsection (2) of section 14 of the National Transport Commission Act, No. 37 of 1991, shall *mutatis mutandis* apply to and in relation to such officer.

(7) Where any officer in the public service is permanently appointed to the staff of the Authority, the provisions of
30 subsection (3) of section 14 of the National Transport Commission Act, No. 37 of 1991, shall *mutatis mutandis*, apply to and in relation to such officer.

(8) Where the Authority employs any person who has agreed to serve the Government for a specified period, any period of service to the Authority by that person shall be regarded as service to the Government for the purpose of
5 discharging the obligations of such agreement.

(9) The Authority shall not appoint any person to the staff of the Authority where such person –

- (a) has been found guilty of serious misconduct;
- (b) has been previously dismissed from office for malpractice; or
10
- (c) has committed a breach of the provisions of this Act or rules made thereunder.

19. (1) At the request of the Authority, any officer of the Central Bank may with the consent of such officer and
15 the Central Bank, be temporarily appointed to the staff of the Authority for such period as may be determined by the Authority or with like consent be permanently appointed to the staff of the Authority on such terms and conditions, including those relating to pension or provident fund
20 rights as may be agreed upon by the Authority and the Central Bank.

Secondment of officers of the Central Bank to the staff of the Authority

(2) Where any person is appointed whether temporarily or permanently under subsection (1) to the staff of the Authority, he shall be subject to the same disciplinary
25 control as any other officer or employee of the Authority.

PART IV

MONEYLENDERS

20. (1) A person shall not carry on a moneylending business except with a licence granted by the Authority.

30

Licensed persons to carry out a moneylending business

(2) A person who contravenes subsection (1) commits an offence under this Act.

(3) Without prejudice to subsection (1), the provisions of subsection (1) shall not apply to the following institutions: -

- 5 (a) the Government of Sri Lanka, a Provincial Council or a local authority;
- (b) the Central Bank;
- (c) a licensed commercial bank or a licensed specialized bank within the meaning of the
10 Banking Act, No. 30 of 1988;
- (d) a licensed finance company within the meaning of the Finance Business Act, No. 42 of 2011;
- (e) any registered leasing establishment registered under the Finance Leasing Act, No. 56 of 2000;
- 15 (f) a co-operative society registered under the Cooperative Societies Law, No. 5 of 1972 and a cooperative society registered under a statute of a Provincial Council;
- (g) a samurdhi community based bank or a samurdhi community based banking society established under the Samurdhi Act, No. 1 of 2013;
- 20 (h) an entity formed in terms of the Agrarian Development Act, No. 46 of 2000;
- (i) any insurance company registered under the Regulation of Insurance Industry Act, No. 43 of
25 2000;

- (j) any company lending money to related companies;
 - (k) any company which lends money to its directors, officers or employees as a benefit accorded to such persons;
 - (l) a foreign Government or any agency or institution acting on behalf of a foreign Government;
 - (m) the International Bank for Reconstruction and Development, the International Development Association, the International Finance Corporation, the Asian Development Bank, or any other multilateral lending institution; and
 - (n) any stock broker registered under the Securities and Exchange Commission of Sri Lanka.
- (4) The provisions of subsection (1) shall not apply to –
- (a) a sum of money lent by a person to any other person only for a particular instance; and
 - (b) a sum of money paid as subscription to a debt instrument which may include bonds, debentures or hybrid debt instrument.
- 21.** (1) A person shall not hold out as a licensed moneylender and shall not take or use or by inference adopt the name, title or description of a “licensed moneylender”, or take or use or have attached to or exhibited at any place any name, title or description implying or tending to create the belief that such person is a licensed moneylender, without obtaining a licence under subsection (1) of section 20 of this Act.
- (2) The Authority may determine whether a person is engaged in the moneylending business having regard

Prohibition
against
holding out
as a licensed
moneylender

to the frequency of transactions by such persons and the characteristics thereof.

(3) A person who contravenes the provisions of subsection (1) commits an offence and shall, on conviction after summary trial by a Magistrate be liable to a fine not exceeding five million rupees or to imprisonment for either description not exceeding five years or to both such fine and imprisonment.

22. (1) An application for a licence to carry on the business of a moneylender shall be made in writing to the Director-General in such form, accompanied by such documents or information and a processing fee as may be set out in rules made in that behalf. Application for a licence

(2) Subject to subsection (2) of section 20, the following entities shall be eligible to apply for a licence under subsection (1):-

(a) a company incorporated under the Companies Act, No. 07 of 2007, and such company is not an offshore company or an overseas company within the meaning of the Companies Act, No. 07 of 2007:

Provided that, a non governmental organization registered under the Voluntary Social Service Organizations (Registration and Supervision) Act, No. 31 of 1980 and incorporated as a company limited by guarantee under the Companies Act, No. 07 of 2007 shall be eligible to apply for a licence under this Act;

(b) a partnership registered under the Partnership Ordinance (Chapter 83) or any statute of a Provincial Council;

(c) a society registered under the Societies Ordinance (Chapter 123) or incorporated under an Act of Parliament; and

5 (d) a trust registered under the Trusts Ordinance (Chapter 87).

(3) The Director-General may on receipt of an application make such inquiries and call for such further information and documents to be produced within a specified period as he considers necessary, and cause any place or places of
10 business of the applicant to be examined.

(4) Where any additional documents or information required under subsection (3) by the Director-General is not provided by the applicant within the period specified therein, the Authority may reject the relevant application, informing
15 the person of the decision to reject such application.

(5) The Director-General after considering the information given in the application and as obtained upon an inquiry or examination made under subsection (3) shall recommend to the Authority to either grant the licence or
20 reject the application.

23. (1) The Authority having considered the Issue of a licence
recommendations made by the Director-General under subsection (5) of section 22, and any other matter in the opinion of the Authority is relevant, may-

25 (a) issue a licence to the applicant to carry on the moneylending business subject to such terms and conditions as the Authority may think fit; or

(b) reject the application, subject to the provision of section 27.

30 (2) At any time during the duration of the licence, the Authority may, add to, revoke or vary any of the terms and conditions of the licence.

24. (1) (a) A licenced moneylender (hereinafter referred to as the “moneylender”) who wishes to renew its licence shall be required to make an application for the same, not less than sixty days prior to the date of the expiry of the licence issued. Renewal of a licence

(b) The application for the renewal of a licence shall be made in writing to the Director-General in such form, accompanied by such documents or information and a processing fee as may be set out in rules made in that behalf. The provisions of subsection (3) of section 22 of this Act shall, *mutatis mutandis* apply to and in respect of the processing of such application.

(2) An application made after the time specified in subsection (1) of this section may be accepted by the Director-General up to thirty days before the date of expiry of the licence, subject to an administrative charge not exceeding rupees two million.

(3) Where a licensed moneylender fails to apply for a renewal of a licence under subsections (1) and (2) of this section, such moneylender shall be prohibited from applying for a new licence within a period of one year from the date of expiry of the licence issued to him.

25. A licence issued under section 23 or renewed under section 24 shall— Conditions of the licence

- 30 (a) be subject to such conditions and requirements as specified in the licence;
- (b) be subject to the payment of an annual licence fee as determined by the Authority;
- (c) be valid for a period of one year;
- 25 (d) specify the date of expiry; and
- (e) be non transferable.

26. A moneylender shall at all times display the original licence issued to him by the Authority, in a conspicuous place at the principal place of business and a copy of such licence at all other places of business.

Display of
licence at
places of
business

5 **27.** (1) Where an application is made for a licence under section 22 or for renewal of a licence under section 24 to carry on the moneylending business, the Authority may refuse the application on any of the following grounds: -

Refusal to
grant or renew
a licence

10 (a) the application was not made in accordance with this Part;

(b) the applicant has failed to comply with any requirement of this Act or the rules made thereunder;

15 (c) any information or document that is furnished by the applicant to the Authority is false or misleading or from which there is a material omission;

20 (d) the Authority is of the opinion that it would be contrary to the interests of its creditors or other stakeholders to grant or renew the licence;

(e) the Authority is of the opinion that it would be contrary to the financial sector and socio economic circumstances of the country;

25 (f) the moneylending business of the applicant is being wound up or otherwise dissolved or the applicant is declared undischarged insolvent or bankrupt by any court within or outside Sri Lanka;

30 (g) execution against the applicant in respect of a judgment debt has been returned unsatisfied in whole or part;

- (h) a receiver, a receiver and manager or an equivalent person has been appointed within or outside Sri Lanka in respect of any property of the applicant;
- 5 (i) the applicant has, whether within or outside Sri Lanka entered into a compromise or scheme of arrangement with its creditors, being a compromise or scheme of arrangement that is still in operation;
- 10 (j) any of the key management personnel, where the applicant is a company, any office bearer, where the applicant is a society, or any partner, where the applicant is a partnership, is subject to any of the grounds set out in this section for the
- 15 refusal of an application; or
- (k) the Authority has reason to believe that the applicant or any of its key management personnel, office bearer or partner as the case may be, not be able to act in the best interest
- 20 of its clients having regard to their reputation, character, financial integrity and reliability.

(2) Where the Director-General determines that a key management personnel is subject to any disqualification set out in section 40, the Director-General shall inform the

25 applicant of such determination in writing within thirty days:

Provided that, the Director-General shall inform the applicant that if his application is to be processed, the key management personnel in question is required to be removed from such office and also to inform the

30 Director-General of such removal in order to start the processing of his application.

(3) The Authority shall not refuse to grant or renew a licence without giving the applicant an opportunity of being heard.

28. (1) The licence issued by the Authority under this Part may at any time by a notification sent to the licensee in that behalf, be cancelled where-

Cancellation
of a licence
issued

- 10 (a) there exists such ground as provided under subsection (1) of section 27 on which the Authority may refuse an application for a licence;
- (b) the moneylender has contravened any condition or restriction in respect of its licence;
- (c) the moneylender has contravened any rule binding upon him as the case may be;
- 15 (d) the moneylender has furnished false, misleading or inaccurate information or is concealing or failing to disclose material facts to the Authority or has been licenced upon a material misrepresentation;
- 20 (e) the moneylender has failed to pay the annual licence fee or any administrative charge imposed under this Act;
- (f) the moneylender has failed to commence business within nine months from the issue of
- 25 the licence;
- (g) the moneylending business is being liquidated or being wound up or otherwise dissolved;
- (h) the moneylender has ceased to carry on the business of moneylending;

- (i) the moneylender is carrying on his business, in a manner detrimental to the interest of its creditors and any other stakeholder; or
- (j) the moneylending business has a –

- 5 (i) key management personnel;
- (ii) any office bearer; or
- (iii) any partner,

who is subject to any disqualification set out in section 40 of this Act.

- 10 (2) Before the cancellation of a licence granted to a moneylender in terms of subsection (1) of this section, the moneylender shall be given written notice of such fact.

- (3) The moneylender may within fourteen days of the receipt of such notice, show sufficient cause to the Authority
- 15 as to why his licence shall not be cancelled.

(4) After the consideration of the reasons given by the moneylender under subsection (3), the Authority may within ninety days of the issuance of the notice-

- (a) withdraw such notice; or
- 20 (b) cancel the licence issued to the moneylender.

- (5) In the event of cancellation of a licence under subsection (4), the moneylender concerned shall be notified forthwith of such cancellation and the cancellation of the licence shall take effect on the date of such cancellation or
- 25 on a later date the Authority may deem appropriate. The

Authority shall publish a notice of such cancellation at least in one each of Sinhala, Tamil and English daily newspapers circulating in Sri Lanka.

5 **29.** (1) A moneylender may request from the Authority, at any time, to cancel the licence issued to him. Voluntary
cancellation of
a licence

(2) The Authority shall consider such request and, if there is no reason to refuse the request of such moneylender, cancel such licence.

10 **30.** (1) Whenever, a licence has been cancelled by the Authority under subsection (1) of section 28 or subsection (2) of section 29, the moneylender shall forthwith surrender the licence to the Director-General, and the moneylender shall remove any material in its places of business which advertises that such moneylender is a licensed moneylender. Upon
cancellation,
moneylender
to surrender
the licence

15 (2) Refusal to renew a licence under subsections (1) and (2) of section 27 or cancellation of a licence under subsection (1) of section 28 shall not affect any moneylending agreement entered into, before such refusal or cancellation and shall not affect any such moneylender from recovering any loan
20 granted during the tenure of the licence.

(3) The refusal to grant or renew a licence under section 27 or cancellation of a licence by the Authority under section 28 shall not affect or prejudice the institution or maintenance of any action against such moneylender under this Act or
25 any other written law.

31. A moneylender may carry on such forms of business, subject to such conditions as may be imposed under this Act or any other written law or specified in the licence issued to such moneylender. Forms of
business that
may be carried
out by a
moneylender

PART V

MICROFINANCE BUSINESS

32. (1) No person, other than a person licenced to carry on the microfinance business under this Act shall carry on the microfinance business. Licensed persons to carry on the Microfinance business
- (2) Any person who carries on or advertises or announces himself or holds himself out in any way as carrying on the microfinance business without a valid licence, commits an offence under this Act.
- 10 (3) A person shall not be eligible to be licenced as a microfinance institution unless such person is a licensed moneylender under this Act, and such person shall be either-
- 15 (a) a company registered under the Companies Act, No. 07 of 2007, and such company is not a company limited by guarantee, a private company, an offshore company or an overseas company within the meaning of the Companies Act, No. 07 of 2007; or
- 20 (b) a non-government a organization registered under the Voluntary Social Service Organizations (Registration and Supervision) Act, No. 31 of 1980 and registered as a company limited by guarantee under the Companies Act, No. 07 of 2007.
- 25 (4) A person as specified in subsection (3) may apply for a licence to carry on a microfinance business, which shall be made in writing to the Director-General in such form, and accompanied by such documents or information as may be set out in rules made in that behalf.
- 30 (5) Subsections (3), (4) and (5) of section 22 and subsection (1) of section 27 shall *mutatis mutandis* apply to and in respect of processing the application made under subsection (4).

(6) The Authority may having considered the reasons set out by the Director-General on the past conduct of the applicant during the period of carrying on the moneylending business, the matters set out in subsection (1) of section 27 of this Act and any such other matters which in its opinion merit inquiry may –

- (a) issue a licence to the applicant to carry on a microfinance business, subject to such terms and conditions as the Authority may think fit; or
- (b) reject the application, subject to the provisions of section 27 as the Authority may think fit.

(7) A licence shall be issued for a period of three years, at any time during the duration of a licence, the Authority may, add to, revoke or vary any of the conditions of the licence.

(8) Upon a licence to carry on a microfinance business being issued to a moneylender, the licence granted to such moneylender to carry on a moneylending business under subsection (1) of section 23 shall be deemed cancelled and such moneylender shall –

- (a) immediately surrender to the Authority the licence granted by the Authority to carry on a moneylending business, and shall not display such licence or a copy thereof at any of its places of business; and
- (b) at all times display the licence issued under subsection (6), in a conspicuous place at the principal place of business and a copy of such licence at all other places of business.

(9) Provisions of section 24, paragraphs (a), (b), (d) and (e) of section 25, section 26, section 27, section 28, section 29 and section 30 shall *mutatis mutandis* apply to and in

respect of a licensed microfinance institution referred to in subsection (3) (hereinafter referred to as a “microfinance institution”):

5 Provided that, a licence shall be issued for a period of three years.

(10) A microfinance institution may carry on such forms of business as set out in the Schedule to this Act, subject to such conditions as may be imposed under this Act or under any other written law or specified in the licence issued to
10 such licensed microfinance institution.

(11) Provisions of the –

- (a) Regulation of the Insurance Industry Act, No. 43 of 2000, only for the purpose of providing microcredit insurance to borrowers; and
- 15 (b) Finance Leasing Act, No. 56 of 2000, only for the purpose of providing micro-leasing facilities to borrowers,

shall not apply to a microfinance institution, and a microfinance institution shall carry on such business, subject
20 to such directives as may be issued by the Authority for the purpose.

33. (1) The Authority may, without prejudice to the provisions of subsection (1) of section 37 and after having due consultations, issue directives to microfinance institutions
25 or to any single microfinance institution or to any group or category of microfinance institutions regarding –

Specific directives for microfinance institutions

- (a) the terms and conditions under which deposits may be accepted as collateral by such microfinance institution, the maximum rates of

interest payable on such deposits, the maximum period for which deposits may be accepted and the maximum amount that may be deposited with an institution by a customer.

- 5 (b) the terms and conditions under which investments may be made and the maximum permissible maturities of such investments;
- (c) the establishment of a reserve fund, minimum percentage of annual after tax profit that shall
10 be transferred to such fund and other operational aspects of such fund;
- (d) the minimum capital requirement; and
- (e) the minimum ratio of the outstanding accommodation granted to low - income persons
15 and to micro enterprises by a microfinance institution shall bear to the outstanding accommodation granted by such microfinance institution.

(2) Any microfinance institution that fails to comply with
20 any directive issued under subsection (1) may be required to pay an administrative charge as may be determined by the Authority not exceeding rupees two million.

(3) When issuing directives under subsections (1), the Authority shall ensure the proportionality of the directive to
25 the relevant microfinance institution, in view of the relevant considerations including the asset size, liabilities, market share and market conditions:

Provided that, the Authority shall apply an objective and verifiable criteria when assessing the proportionality of the
30 directive.

PART VI

REGULATION OF MONEYLENDERS AND MICROFINANCE INSTITUTIONS

34. (1) A person carrying on a moneylending business Regulatory
5 or microfinance business (hereinafter referred to as the approval
“licencee”) shall not –

(a) open any new place of business;

10 (b) outsource its debt collection function, including
collection of debt through factoring or similar
arrangement;

(c) in the case of a company –

15 (i) establish a subsidiary;
(ii) amend its Articles of Association;
(iii) appoint new members to the board of
directors; or
(iv) reduce its capital;

(d) in the case of a society, change the office bearers;
or

(e) in the case of a partnership, change a partner,

20 without the prior approval of the Director-General.

(2) Any licencee who fails to obtain the prior approval
of the Director General as required under subsection (1),
may be required to pay a sum of money as an administrative
charge, as may be determined by the Authority not exceeding
25 rupees two million.

(3) The Director-General may issue directions to a
licencee, if considered necessary, when granting approval
under subsection (1).

35. All licencees shall forthwith inform in writing the Director-General of the following events: –

Informing
certain
events to the
Director-
General

- (a) being unable to meet its obligations or is about to become insolvent;
- 5 (b) any action being filed in court for liquidation of the licencee, in case of a company;
- (c) any action filed for bankruptcy by a licencee in a court of law;
- (d) dissolution or winding up in the case of a society;
10 or
- (e) dissolution in the case of a partnership.

36. The board of directors, partners or office bearers of a company, partnership or society, as the case may be, shall continue to be subject to the provisions of any Order, rule, determination direction or directive made under this Act as the Authority may consider necessary, during the process of liquidation, dissolution or winding up.

Act continue
to apply
in case of
liquidation,
dissolution or
winding up

37. (1) Notwithstanding the provisions of any other written law, and in addition to the powers vested in the Authority under section 33, after having due consultations with the licencees, the Authority shall issue directives as to the manner in which any aspect of the business and corporate affairs of such licencees are to be conducted and in particular-

Directives to
licencees

- 25 (a) the maximum interest rates or amounts which may be charged by way of commissions, discounts, fees, penalties or other receipts or payments whatsoever;
- (b) method and manner of calculation of interest
30 charged on loans or any other financial

accommodations and the maximum interest rates to be charged on such loans or other financial accommodations;

- 5 (c) collection of debt, including collection of debt through factoring or any other similar arrangement;
- (d) the nature and amount of the security that may be required or permitted for various types of loans or any other type of financial accommodation;
- 10 (e) the minimum amount of capital or net assets to be maintained;
- (f) internal controls, risk management or principles of corporate governance to be adopted;
- 15 (g) implementation of a code of governance and a code of conduct;
- (h) criteria to assess the fitness and propriety of-
 - (i) the directors, key management personnel and shareholders in the case of a company;
 - (ii) the office bearers, in the case of a society; or
 - 20 (iii) partners in the case of a partnership;
- (i) restrictions on structural changes to corporate and business affairs;
- (j) the form and manner of maintaining books and accounts or other records or documents;
- 25 (k) the form and manner of disclosing information to customers;

- 5 (l) the minimum requirements for educational and professional competence of employees of licencees engaged in credit, recovery, marketing, complaints handling, customer services and any other activity which involves interaction with the customers;
- (m) the maximum ratio the total debt of a borrower should bear to the total income of such borrower;
- 10 (n) publication of any data, information, report including credit rating, financial statements, advertisements or any other marketing material in any print or electronic media;
- (o) regulation of market conduct, including business hours, use of agents and representatives, loan recovery practices and communication methods;
- 15 (p) establishing credit counseling centers, to provide counseling and advisory services;
- (q) handling of customer complaints; and
- 20 (r) regulation of moneylending and microfinance businesses carried out using any digital or electronic means.

(2) Any licencee that fails to comply with any directive issued under subsection (1) may be required to pay a sum of money as an administrative charge as may be determined by
25 the Authority not exceeding rupees two million.

(3) The Authority may after having due consultations with the relevant licencee, issue directives to a holding company, any subsidiary or an associate company of a licencee regarding the manner in which any aspect of the
30 business of such company is to be conducted:

Provided that, the provisions of this section shall not apply to a holding company, subsidiary or associate company which is subjected to the regulation of any financial sector regulatory authority.

- 5 (4) Any holding company, subsidiary or associate company of a licensee that fails to comply with any directive issued under subsection (3) may be required to pay a sum of money as an administrative charge as may be determined by the Authority, not exceeding rupees two million.
- 10 (5) When issuing directives under subsections (1) and (3), the Authority shall ensure proportionality of the said directive to the relevant licensee or the holding company, any subsidiary or an associate company of the licensee, in view of the relevant considerations including the asset size,
- 15 liabilities, market share and market conditions.

38. (1) The Authority may from time to time, -

Authority
may make
rules or issue
directives

- (a) make such rules as it may consider necessary in relation to any matter affecting or connected with or incidental to the exercise, performance and discharge of the powers, duties and functions of the authority or any of its officers under this Act, including the following: -
- 20

- (i) administration of the affairs of the Authority;
- (ii) procedure for the appointment, promotion, remuneration and disciplinary control of the employees and the grant of leave and other emoluments of such employees;
- 25
- (iii) terms and conditions of service of the officers and employees of the Authority;

- (iv) payment of money out of the Fund of the Authority;
- (v) levying fees or charges for any service rendered by the Authority;
- 5 (vi) criteria for licencing under this Act;
- (vii) processing fee for an application for a licence;
- (viii) annual licence fee payable to the Authority by a licensee;
- 10 (ix) forms, documents or information to be used for the purposes of this Act;
- (x) procedure to be adopted in holding inquiries under section 51;
- 15 (xi) giving effect to such guidelines issued by the Central Bank; and
- (xii) any other matter connected with the affairs of the Authority; or
- (b) issue such directives.

(2) When making rules under paragraphs (v), (vi), (vii),
20 (viii) and (x), the Authority shall ensure proportionality of the rule to the relevant licensee, in view of the relevant considerations as determined by the Authority:

Provided that, the Authority shall apply an objective and verifiable criteria when assessing the proportionality of the
25 directive.

(3) Every directive or rule made by the Authority under this Act shall be approved by the Minister and published in

the *Gazette* and be brought before Parliament for its approval and shall come into effect after such approval.

- (4) A notification specifying of the date on which Parliament has approved the directive or rule shall be published in the *Gazette*.

39. (1) Where the Authority is of the opinion that a licencee – Regulatory actions

- (a) is carrying on or is in the process of carrying on its business following unsound or improper financial practices which are detrimental to the interest of its creditors and other stakeholders; or
- (b) has contravened or failed to comply with any provision of this Act or any direction, directive, rule, Order or requirement made or imposed thereunder,

the Authority shall, take any one or more of the following actions: –

- (i) direct such licencee to cease such practice;
- (ii) direct such licencee to, forthwith or within such period as may be specified by the Director-General, comply with the provisions of this Act, direction, directive, rule, Order or requirement made or imposed thereunder, which such licencee has failed to comply with;
- (iii) direct such licencee to take necessary action to correct the negative conditions resulting from such practice or contravention;
- (iv) restrain any director, manager, employee, partner, office bearer or

controller of the licensee from carrying out any function in or in relation to the licensee;

- 5 (v) remove any director, manager, partner, office bearer or employee of the licensee;
- 10 (vi) impose an administrative charge not exceeding a sum of rupees two million on the licensee, any member of the board of directors, manager, employee, partner or office bearer, as the case may be;
- 15 (vii) review any agreement or contract entered into by a customer or any other person with the licensee and vary the terms of such agreement or contract, including the terms relating to repayment, interest rates and charges where it considers that such contract has
- 20 been entered into without due regard to the interests of borrowers and any other stakeholders or prudent commercial practices; or
- 25 (viii) publish the name of the licensee as a moneylender or microfinance institution, as the case may be regarding which the Authority has serious supervisory concerns.

30 (2) Any person aggrieved by any action taken under subsection (1), may before the expiry of fourteen days from the date of the taking of such action, appeal in writing to the Authority and the Authority shall render its decision within ninety days of the receipt of such appeal.

40. A person shall be disqualified from being appointed or elected as a key management personnel, partner or an office bearer of a licensee, as the case may be or from holding such post, if such person –

Disqualification
for holding
office

- 5 (a) is a person convicted of an offence or is being subject to any criminal prosecution involving fraud, deceit, dishonesty, or any other improper conduct;
- 10 (b) has been declared an undischarged insolvent or a bankrupt, by any court within or outside Sri Lanka;
- 15 (c) has been convicted by any court for an offence involving financial mismanagement or moral turpitude;
- 20 (d) has been convicted by any court for any offence under this Act, or the Banking Act, No. 30 of 1988, the Finance Business Act, No. 42 of 2011, the Finance Leasing Act, No. 56 of 2000, or the Companies Act, No. 07 of 2007;
- 25 (e) is being subject to any investigation or inquiry in respect of an act of fraud, deceit, dishonesty or other similar criminal activity, by any regulatory or supervisory authority, professional association, commission of inquiry, tribunal, or any other body established by law within or outside in Sri Lanka;
- 30 (f) has been found guilty in respect of an act of fraud, deceit, dishonesty or other similar criminal activity, by any regulatory or supervisory authority, professional association, commission of inquiry, tribunal, or any other body established by law, within or outside Sri Lanka, at any time prior to being so appointed or elected;
- 35

- 5 (g) has been removed or suspended by a regulatory or supervisory authority from serving as a director, chief executive officer or other officer in any bank, finance company or corporate body within or outside Sri Lanka;
- 10 (h) has been removed or suspended by any bank, finance company or corporate body within or outside Sri Lanka, on the grounds of fraud, deceit, dishonesty, or other similar criminal offence, from serving as a director, chief executive officer or other officer in any bank, finance company or corporate body within or outside Sri Lanka;
- 15 (i) has been declared by a court of competent jurisdiction to be of unsound mind;
- 20 (j) has been a key management personnel of a licenced bank, a licenced finance company, any registered leasing establishment or any licenced insurance company, whose licence has been cancelled;
- 25 (k) has been a director, chief executive Officer or held any other position of authority in any body corporate or in any unincorporated body which the Central Bank has determined as contravened the provisions of subsections (1) and (2) of section 2 of the Finance Business Act, No. 42 of 2011, or similar determination under Finance Companies Act, No. 78 of 1988;
- 30 (l) has been a key management personnel, an office bearer, partner of any licensee, of which the licence has been cancelled by the Authority; or
- (m) has failed to satisfy any judgment or order of any court whether within or outside Sri Lanka, or to repay a debt.

PART VII

EXAMINATION OF A LICENCEE

41. (1) The Director-General may for ascertaining the manner in which business and corporate affairs of a licensee are being conducted or for any other specified purpose, require any licensee or person to submit documents or information in such manner and form and at such intervals or at such times as may be specified from time to time to the Director-General or any employee of the Authority designated for such purpose in the manner and within such time as may be specified by the Director-General.

Licencees
to provide
documents or
information

(2) Any licensee or person who fails to submit information under subsection (1), may be required to pay a sum of money, as an administrative charge, as may be determined by the Authority not exceeding two million rupees.

(3) In this section “person” includes any officer of any department of the Government or any body of person, corporate or unincorporate, whether established or constituted under any law or otherwise.

42. (1) The Director-General or any officer of the Authority authorized by him, or any other person authorized by the Director-General with the approval of the Authority, may at any time examine the books of accounts and records of any licensee, and for that purpose may do one or more of the following: -

Examination
of licencees

(a) require any licensee or a director, secretary, manager, employee, auditor, agent, contractor, partner or a office bearer of a licensee to furnish him all such information as he may consider necessary, within such period in a manner or form as may be specified by the Director-General, and to produce for inspection books, records, files, registers and such other documents, maintained

in print or electronic form, of such licensee and to provide authenticated copies in any form as required of such books, records, files, registers and such other documents;

5 (b) enter any premises or storage area or any
property of such licensee, or any director,
secretary, manager, employee, auditor, agent,
contractor, partner, office bearer of such
10 licensee, or any other place not specified above,
and notwithstanding anything to the contrary in
any other law, examine books, records, files,
registers, and such other documents, maintained
in print or electronic form, of such licensee and
15 may obtain copies, authenticated or otherwise, in
any form of such books, records, files, registers
and such other documents;

 (c) require any licensee or a director, manager,
employee, agent, contractor, partner, office
bearer or secretary of any licensee to submit
20 the accounts of such licensee, furnish such
information and produce such books, records,
files, registers, and such other documents,
maintained in print or electronic form, for
audit by an auditor authorized by the Director-
25 General;

 (d) call for information by written notice, question
and record statements of or, if necessary, direct
any director, shareholder, secretary, manager,
employee, agent, auditor, partner, office bearer
30 or contractor of any licensee or of any other
person who may be acquainted with or is aware
of or is in possession of, information regarding
the business or corporate affairs of such licensee,
to submit information or if necessary, administer
35 oath or affirmation in accordance with the Oaths
and Affirmation Ordinance (Chapter 17);

- 5 (e) require any related party of a licensee to furnish information as the Director-General may consider necessary and to produce for inspection books, records, files, registers and such other documents maintained in print or electronic form, of such related party and to provide authenticated copies in any form as required of such books, records, files, registers and such other documents;
- 10 For the purposes of this paragraph “related party” means –
- 15 (i) in the case of a company, any subsidiary or associate company of any licensee, or any subsidiary or associate company of the holding company of any licensee, or any director, key management personnel, secretary or their close relations;
- 20 (ii) in the case of a partnership, a partner or close relations of such partner;
- (iii) in the case of a society, an office bearer, or close relations of such officer bearer; or
- 25 (iv) any other licensee or individual that in the view of the Director-General has a substantial financial interest or significant management interest in any licensee; or
- (f) take any other action which he may deem necessary to ascertain the true condition of the affairs of such licensee during such examination.
- 30 (2) The Authority may, if consider necessary, direct the Director-General to cause an examination on any licensee for the purpose of ascertaining the true condition of the affairs of such licensee.

(3) The Director-General shall upon conclusion of each examination conducted in terms of subsections (1) and (2), submit a report to the Authority on such examination.

5 (4) If the Director-General, through documents and information received under subsection (1) of section 41, or in any other manner whatsoever, ascertains that a licensee has failed to comply with any direction, directive, rule, Order or determination issued under this Act, he shall report such fact to the Authority.

10 (5) Upon receipt of a report under subsection (3) or (4), the Authority may take any one or more of the regulatory actions specified in section 39.

15 **43.** It shall be the duty of every person to comply with any requirement imposed on him under this Part and any person who - Duty to
comply
with any
requirement
imposed under
this Part

(a) fails to provide any information or produce for inspection any book, record, file, register or such other document, material or object required under this Part;

20 (b) fails to attend in person when summoned for an interview;

(c) provides false, incomplete or incorrect or misleading information, book, record, file, register or such other document, material or
25 object; or

(d) obstructs the Director-General or any other person authorized by the Director-General under subsection (1) of section 42,

commits an offence under this Act.

PART VIII

CUSTOMER PROTECTION

- 44.** A licensee shall not issue, publish or demonstrate any advertisement, circular or any other material used for the purpose of marketing of its business, containing expressions which may imply or give an inference to the public that it carries on banking business, finance business or, microfinance business:
- Not to engage in banking business, finance business or microfinance business

- Provided that, the provisions of this section shall not apply to a microfinance institution licensed under this Act to issue, publish or demonstrate any advertisement, circular or any other material used for the purpose of marketing of its microfinance business.

- 45.** Every licensee shall formulate guidelines on customer protection and market conduct, approved by the board of directors, the partners, or the office bearers, as the case may be, and such guidelines shall be communicated to all employees of the licensee.
- Formulation of guidelines in customer protection

- 46.** A Licensee shall-
- Obligations of a licensee
- (a) enter into an agreement with all customers, which shall be in writing, before granting a loan;
- (b) ensure that the customers to whom loans are granted have the ability to repay such loans, in order to prevent over- indebtedness;
- (c) specify at the time of entering into an agreement, the nominal interest rate and the annual effective interest rate charged;
- (d) provide a loan statement or status of account to any customer on his request, subject to a fee as may be specified by the Authority; and

(e) ensure treating its customers fairly and respectfully.

47. A licensee shall not enter into any agreement to provide a loan or any other financial service to a person who has not reached the age of majority.

No agreement to be entered with a minor

48. (1) Any agreement to provide a loan or any other financial service entered into by a licensee with its customer shall-

The loan agreement

(a) be concise, easy to understand, and accurate;

10 (b) be available in Sinhala, Tamil or English languages to the customer in his preferred language;

(c) not include any terms and conditions which are unfair, misrepresented, exclude or restricts the liability of such licensee, excludes or restricts any right of the customer or prevents the applicability of any provision of this Act or any direction, directive or rule issued thereunder or any written law, for the time being in force;

15

20 (d) include all terms and conditions subject to which money is lent or any other financial service is provided to the customer, and any amendment, modification made to such conditions shall not be enforceable before a court of law, unless the customer is notified in writing of such amendment or modification and such customer agrees in writing to the same; and

25

(e) be explained to the customers by the licensee before entering into agreement, on its contents and financial implications, in his preferred language.

30

(2) Any loan agreement or any guarantee or security to secure such loan, entered in contravention of the provisions of this Act or any direction, rule, directive or determination issued thereunder shall be null and void and shall not be enforceable before any court of law.

49. A licensee, shall not-

Actions
prohibited by a
licensee

- 10 (a) obtain the consent or signature of any person to a blank, incomplete or altered loan agreement, an agreement to provide any other financial services or any security document;
- 15 (b) recover the total amount as the interest, at any time in excess of the principal amount lent;
- (c) make any false, misleading or deceptive statement to any customer or conceal any material fact from a customer;
- (d) fraudulently induce or attempt to induce any person to enter into a loan agreement or any other agreement to provide financial services or to agree to any term or condition;
- 20 (e) discriminate any segment of population based on religion, gender or any other material factor relating thereto;
- 25 (f) exert undue influence in lending money to any person or when recovering any such money from such person; or
- 30 (g) harass, threaten, intimidate or humiliate customers and their close relations in carrying out routine collection of loan instalments and recovery of loans or any activity prohibited by the directives issued under section 33.

50. The Authority may establish credit counselling centers at any of its branches and at any other place the Authority deems necessary.

Credit
counseling
centers

51. (1) The Authority shall appoint an officer or officers (hereinafter referred to as “inquiring officers”) to handle complaints received from customers aggrieved by a licensee.

Handling
of customer
complaints
made to the
Authority

(2) For the purpose of subsection (1), the Authority shall have the power to-

- (a) inquire and request the licensee, the complainant and any other person to submit information as it may deem necessary;
- (b) conduct examinations under Part VII of this Act; or
- (c) summon the licensee or the complainant or both such licensee and complainant for an inquiry or investigation.

(3) An Attorney at Law shall not be entitled or be permitted to make a representation on behalf of any party who is summoned by the Authority, for the purposes of subsection (2).

(4) The Authority may adopt an appropriate procedure as may be specified by rules for holding inquiries under subsection (2).

(5) The inquiring officer shall endeavor to bring the parties to an amicable settlement, and in the event of a failure to do so, the Director-General may, considering the representations made by such parties to the Authority and the recommendation of the inquiring officer and such other matters which in his opinion merit inquiry –

- (a) take any one or more actions under subsection (1) of section 39 as directed by the Authority;

(b) issue directions to the licensee or the customer or both such licensee and customer as the case may be; or

5 (c) take both actions under paragraphs (a) and (b) above.

(6) The Authority shall maintain a database of complaints received by customers or licensees, and analyse such complaints to identify current and emerging issues in the moneylending business and microfinance business, patterns
10 of such issues, recurrence of same issues and such other similar concerns as the Authority may consider necessary.

52. (1) It shall be the duty of every licensee, to ensure all aspects of customer due diligence requirements as imposed by any other written law for the time being in force is
15 complied with, in carrying out their business. Customer due diligence requirements

(2) For the purpose of subsection (1), the provisions of the Financial Transactions Reporting Act, No. 6 of 2006, the Prevention of Money Laundering Act, No. 5 of 2006, and Convention on the Suppression of Terrorist Financing Act,
20 No. 25 of 2005 and any regulation, direction, directive, rule, determination, guideline or circular issued thereunder shall apply to all such licensees.

53. A customer shall- Responsibilities of customers

25 (a) exercise reasonable due care in every transaction with a licensee;

(b) report forgeries or unauthorized transactions effected to his account or facility, to the licensee, as soon as he becomes aware of them;

30 (c) take reasonable measures to identify the purpose of the loan and obtain a sum of money as a loan

to serve such purpose, which can be serviced without any default;

5 (d) provide all information that are necessary for a licensee to grant any loan or accepting a security against such loan without undue delay;

(e) inform the licensee of any financial difficulty that may hinder the due payment of any loan obtained as soon as possible; and

10 (f) inform the licensee, at all times, of any changes made to his contact details during the servicing of any loan.

PART IX

INVESTIGATION OF OFFENCES

15 **54.** The provisions of this Part shall be in addition to any powers vested in the Director-General under Part VII of this Act, and shall not be construed so as to restrict the powers of the Director-General under the said Part VII to examine any licensee. Powers of investigation in addition to powers of examination

20 **55.** (1) Where the Authority receives any complaint or information regarding a person connected with the commission of an offence under subsection (3) of section 21 or subsection (2) of section 32, the Director-General shall submit a certified copy of any complaint or information received by the Authority to an officer not below the rank of
25 Assistant Superintendent of Police, and request such officer to conduct an investigation on such complaint or information. It shall be the duty of such police officer to conduct an investigation or cause an investigation on the commission of such offence as requested by the Director-General and may
30 exercise all powers of investigation provided under this Act or any other law. Investigation of offences

(2) Notwithstanding the provisions of subsection (1), where a police officer has reasonable grounds to believe that any person is involved in any activity relating to an offence under this Act, such officer, may investigate or cause an investigation on such commission of offence and may exercise all powers of investigation provided for in this Act or in any other law.

56. Where any person fails to provide any information, book, record, file, register or such other document or material or object or provides false, incorrect or incomplete information, book, record, file, register or such other document or material or object when required by a police officer conducting an investigation under section 55, a police officer not below the rank of an Assistant Superintendent of Police may make an application to a Magistrate for the issuance of an order-

Court order
to obtain
information

(a) authorizing any person named in the application to inspect any book, record, file, register and such other documents maintained in print, electronic or any other form, material or object of the person who has failed to comply with the requirement made under subsection (1) of section 55; or

(b) requiring the person who has failed to comply with the requirement made in terms of subsection (1) of section 55, or a director, partner, member, secretary, manager, employee, agent, contractor or auditor of such person as may be named in the order, to produce any book, record, file, register and such other document maintained in print, electronic or any other form, material or object of such person, to a person and at a place specified in the order.

57. (1) A police officer not below the rank of an Assistant Superintendent of Police may at any time, make an application to a Magistrate to impound the passport of a person investigated in terms of subsection (1) of section 55. Impounding of passports of persons investigated

5 (2) In an event where the person investigated in terms of subsection (1) of section 55, is a body of persons, it shall be lawful for a police officer not below the rank of an Assistant Superintendent of Police to make an application or applications, as may be necessary, to impound the passport-

10 (a) if that body of persons is a body corporate, of any shareholder, director, manager or officer of the body corporate;

(b) if that body of persons is a partnership, of any partner of such partnership; or

15 (c) if that body of persons is an unincorporated body other than a partnership, of any member of such body, or any officer of that body responsible for its management and control.

20 **58.** The Director-General may with the approval of the Authority and having regard to the circumstances in which an offence under this Act was committed, compound such offence for a sum of money not exceeding rupees five million. Compounding of offences

PART X

25 OFFENCES AND PENALTIES

59. Any person, who being a director, secretary, chief executive officer, manager, officer, employee, partner, office bearer or auditor of a licensee- Offences by employees

30 (a) fails to take all reasonable steps to ensure that the licensee complies with the requirements of this Act;

- (b) fails to comply with any directive issued or rule made by the Authority under the provisions of this Act;
- 5 (c) fails to comply with any direction issued by the Director General under the provisions of this Act;
- 10 (d) fails to take all reasonable steps to secure the accuracy of any statement submitted or published by such licensee, under the provisions of this Act;
- 15 (e) makes a false entry in any book, record, file, register or such other document or statement relating to the business affairs, transactions, conditions, assets or liabilities or accounts of such licensee or cause such entry to be made;
- 20 (f) omits to make an entry in any book, record, file, register or such other document or statement relating to the business affairs, transactions, conditions, assets or liabilities or accounts of such licensee or causes such entry to be omitted;
- 25 (g) alters, abstracts, conceals, erases or destroys any entry in any book, record, file, register or such other document, or statement relating to the business affairs, transactions, conditions, assets or liabilities or accounts of such licensee, or causes any such entry to be altered, abstracted, concealed, erased or destroyed; or
- 30 (h) maintains multiple sets of books, records, files, registers, or such other documents for the purpose of concealing the true condition of such licensee,

commits an offence under this Act.

- 60.** (1) Any person who contravenes or fails to comply with any provision of this Act, other than section 53, any directive or rule made thereunder commits an offence under this Act and where for which no other punishment is expressly provided for in this Act, shall be liable on conviction after summary trial by a Magistrate to a fine not exceeding rupees five million or to imprisonment of either description for a term not exceeding five years or to both such fine and imprisonment. Penalty for contravention of the Act
- 5
- 10 (2) Where an offence under this Act is committed by a body of persons, then-
- (a) if that body of persons is a body corporate, every director, manager, officer or secretary of that body corporate;
- 15 style="padding-left: 40px;">(b) if that body of persons is a partnership, every partner of such partnership; or
- (c) if that body of persons is an unincorporated body other than a partnership, every member of such body,
- 20 shall be deemed to be guilty of that offence:
- Provided that, a director, manager, officer or secretary of such body corporate or a partner of such partnership or a officer of a unincorporated body, shall not be deemed to be guilty of such offence if he proves that such offence was committed without his knowledge or that he exercised due diligence to prevent the commission of such offence.
- 25
- (3) Any person who abets, conspires or attempts to commit an offence under this Act commits an offence and shall be punishable in the same manner as punishable for the substantive offence under this Act.
- 30
- (4) A director, manager or secretary of a body corporate or a partner of a partnership or a member of an unincorporated

body ordered to pay a fine by a Magistrate under this Act, commits an offence if he applies any funds of such body corporate, partnership or unincorporated body, as the case may be, for the payment of such fine or part thereof.

5

PART XI

FINANCE

61. (1) The Authority shall have its own Fund (hereinafter referred to as “the Fund”). Fund of the Authority

(2) The Parliament shall allocate a sum of rupees one hundred million which shall be decided by the Minister from the Consolidated Fund as the initial capital of the Authority and such sum shall be credited to the Fund established under subsection (1) hereof.

- (3) There shall be credited to the Fund –
- 15 (a) all such sums of money as may be voted from time to time by Parliament, for the use of the Authority;
 - 20 (b) all such sums of money received by the Authority in the exercise, performance and discharge of its powers, duties and functions under this Act; and
 - 25 (c) all such sums of money as may be received by the Authority by way of income, fees, charges, grants, gifts or donations from any source whatsoever other than from a licensee within or outside Sri Lanka.

(4) There shall be paid out of the Fund –

- (a) all such sums of money as are required to defray any expenditure incurred by the Authority in

the exercise, performance and discharge of its powers, duties and functions under this Act; or

(b) all such sums of money as are required to be paid out of the Fund by or under this Act.

5 (5) The Authority shall make rules regarding the payment of money out of the Fund.

(6) The net profit of the Authority at the end of each financial year, after retaining with the approval of the Minister an amount required for increased capital requirement of the
10 Authority for the next immediate financial year, shall be credited to the Consolidated Fund.

62. (1) The Financial year of the Authority shall be the calendar year.

Financial
year and
audit of
accounts

(2) The Authority shall cause proper books of accounts to
15 be kept of the income and expenditure, assets and liabilities and all other transactions of the Authority.

(3) The provisions of Article 154 of the Constitution relating to the audit of the accounts of public corporations shall apply to the audit of accounts of the Authority.

20 (4) The Authority shall submit the audited statement of accounts together with the Auditor-General's report to the Minister within five months of the end of the financial year to which such report relates. The Minister shall place such statement and the report before Parliament within two
25 months of the receipt thereof.

63. The provisions of Part II of the Finance Act, No. 38 of 1971, shall, *mutatis mutandis*, apply to and in respect of the financial control and accounts of the Authority.

Application
of Part II of
the Finance
Act, No. 38 of
1971

PART XII

GENERAL

- 64.** (1) Every director, manager, officer, employee and agent of any licensee and of any person authorized in terms of subsection (1) of section 42 shall observe strict secrecy in respect of all transactions of such licensee, its customers and the state of accounts of any person and all matters relating thereto and shall not reveal any such matter except-
- Secrecy on transactions
- (a) when required to do so-
 - (i) by a court of law;
 - (ii) by the person to whom such matter relates;
 - (b) in the performance of the duties of such director, manager, officer, employee and agent; or
 - (c) in order to comply with any of the provisions of this Act or any other written law.
- (2) Subject to subsection (1), a licensee shall collect, store, view and use customer data in a manner that effectively protects the privacy of its customers.
- 65.** (1) Except in the performance of his duties under this Act, every member, officer and employee of the Authority shall preserve and aid in preserving secrecy with regard to all matters and any information relating to the affairs of –
- Secrecy of information
- (a) any applicant who has made an application for a licence under this Act;
 - (b) a licensee or any customer of such licensee; or
 - (c) any Government institution,

that may have come to his knowledge in the performance of his duties under this Act or any other law for the time being in force and any such member, officer or employee who –

5 (i) communicates any such matter or information to any person other than to the Authority, the Director-General or an officer of the Authority authorized in that behalf by the Authority or the Director-General; or

10 (ii) suffers or permits any unauthorized person to have access to any books, papers or other records relating to any applicant for a licence under this Act, licensee, any customer of a licensee or any Government institution as the case may be,

commits an offence.

15 (2) The Provisions of the Right to Information Act, No. 12 of 2016 shall have the effect notwithstanding anything to the contrary in this Act, and accordingly in the event of any inconsistency or conflict between the provisions of the Right to Information Act and this Act, the provisions of
20 the Right to Information Act shall prevail in relation to any information of the Authority.

25 **66.** Where any notice is to be served on a licensee under this Act or where the Authority informs any regulatory action taken under the Act to a licensee, proof of posting such notice or information to the address of the principal place of business of a licensee, addressed to the principal officer, shall be sufficient to prove that such notice has been served on such licensee.

Posting deemed to be proper notice

- 67.** (1) Notwithstanding anything to the contrary in this Act or any other written law, the Central Bank may in order to strengthen the stability of the financial system and to make qualitative improvements in the regulation and supervision of a licensee, issue guidelines to the Authority, and the Authority shall give effect to such guidelines issued by the Central Bank by making appropriate rules or issuing directives or by taking any other appropriate action.
- (2) The Central Bank may call for information from the Authority, from time to time, and it shall be the duty of the Authority to submit such information in a timely manner.
- 68.** (1) The Authority shall maintain separate registers for licencees, where details of the licences issued, conditions and requirements imposed on each licence and any other information the Authority may deem appropriate, shall be recorded.
- (2) The Authority shall maintain a record of the basis of issuing and conditions and requirements imposed in issuing each licence and where a licence is refused, reasons for such refusal.
- 69.** The Authority may, from time to time, publish a notice, in at least one Sinhala, Tamil and English daily newspaper circulating in Sri Lanka, giving a list of licencees who have been issued with a licence under this Act.
- 70.** (1) No person other than a licenced moneylender, or an institution exempted under subsection (3) of section 20 shall use as part of its name or its description, any of the words, “credit”, “microcredit”, “lending”, “lenders” “moneylenders” or “microfinance” or any of their derivatives, or transliterations, or their equivalent in any other language whether alone or in combination with any other word, without the prior written approval of the Authority.

Central Bank
to issue
guidelines to
the Authority

Register of
licencees

List of
licencees to be
published

Use of the
words “credit”,
“microcredit”,
“lending”,
“lenders”
“moneylenders”
and
“microfinance”
in business
names

(2) No person other than a licensed microfinance institution, or an entity exempted by subsection (1) of section 32 shall use as a part of its name or its description in its name, the word, “microfinance” or any of its derivatives or its transliteration or its equivalent in any other language whether alone or in combination with any other word, without the prior written approval of the Authority.

71. (1) Subject to subsection (3) of section 20, it shall be the duty of any media institution to verify from any person who offers to lend money, whether he is licenced under this Act, before publishing an advertisement or any business promotional publication relating to such activity.

Obligations
of media
institutions

(2) The Director-General may send a notice to any media institution requiring such institution to refrain from publishing advertisements on offering moneylending business or microfinance business by a person not licenced under this Act or not exempted under subsection (3) of section 20 of this Act.

72. (1) The Minister may, on the recommendation of the Authority on the ability of a declarant to provide timely and accurate credit information, declare any moneylender or microfinance institution licenced under this Act to be a lending institution for the purposes of the Credit Information Bureau of Sri Lanka Act, No. 18 of 1990.

Licensed
microfinance
institutions
deemed to
be “credit
institutions”
for the purpose
of CRIB Act

(2) Notwithstanding the provisions of subsection (1), the Authority may -

(a) collect, collate, synthesize and store credit and financial information from any moneylender or microfinance institution licenced under this Act on their borrowers or prospective borrowers; and

(b) provide credit and financial information or any category of such information on the request and in confidence to -

- 5 (i) the Central Bank for the purposes of
ascertaining the suitability of any person
to be appointed, elected or nominated to
be a director or a chief executive officer
of a financial institution and for the
purpose of regulation and supervision
of financial institutions and to improve
the quality of credit analysis of such
institutions;
- 10 (ii) any moneylender or microfinance
institution licenced under this Act or
any financial institution for the purpose
of evaluating or ascertaining the credit
worthiness or credit standing of any
15 person and for the reviewing and
monitoring of existing borrowers and
for the collection of outstanding credit
of existing borrowers;
- 20 (iii) a borrower or a prospective borrower of
any institution licenced under this Act
and to any other person to whom such
information relates;
- 25 (iv) any Government agency or institution
declared by the Minister assigned the
subject of finance to be entitled to
receive such information to evaluate the
credit worthiness of an applicant to be
issued with a licence or provided with
a concession in terms of the applicable
30 law to issue a licence or to grant such
concessions;

5 (v) any insurance company with the consent of the person to whom the information relates, for the purpose of under writing or ascertaining the creditworthiness and insurability of such person; or

10 (vi) any other person or body of persons whom the Minister may, on the recommendation of the Authority from time to time, identify for the purposes of this section by Order published in the *Gazette*.

(3) The Authority may in furnishing information under paragraph (b) of subsection (2), impose such terms and conditions as may from time to time be determined by the
15 Authority, including the identification of the purposes for which such information may be used.

73. In any prosecution of any person for contravention of subsection (1) of section 20 and subsection (1) of section 32 of this Act, the burden of proving that such person has been
20 granted a licence to carry on the moneylending business or the microfinance business shall lie on such person.

Proof of grant of a licence

74. Any copy of a document maintained by the Authority under this Act, certified by the Director-General to be a true copy of such document, shall be admissible in any court of
25 law as evidence of the original of such document.

Certified copies to be accepted as evidence of originals

75. Provisions of the Money Lending Ordinance (Chapter 80), except section 5, shall not apply to any licensee.

Licencees exempted under Money Lending Ordinance

76. It shall be a defence in any criminal or civil proceeding for anything done or omitted to be done by a member, Director-General or any employee of the Authority or any person authorized by the Authority or the Director-General under this Act, if he proves that he exercised due diligence and reasonable care and acted in good faith in the course of or in connection with the discharge or purported discharge of his obligations under this Act or any direction, rule, Order or directive issued or made thereunder.
77. Any expenses incurred by a member of the Authority, the Director-General or any employee of the Authority or any person authorized by the Authority or the Director-General as the case may be in any suit or prosecution brought against such person before any court in respect of any act which is done or purported to be done or omitted to be done by him under this Act or any direction, directive, rule, Order or requirement made or imposed thereunder, as the case may be, shall, if the court holds that such act was done in good faith, be paid out of the Fund of the Authority, unless such expenses are recovered by him in such suit or prosecution.
78. The Authority shall be deemed to be a Scheduled Institution within the meaning of the Anti-Corruption Act, No. 9 of 2023 and the provisions of Chapter I of Part III under the Heading “Offences relating to Bribery or Corruption” of such Act, shall *mutatis mutandis* be deemed to be applicable to or in relation to the provisions of this Act.
79. All members of the Authority, the Director-General and all officers and employees of the Authority shall be deemed to be public servants within the meaning and for the purposes of the Penal Code (Chapter 19).
- Defence in criminal or civil proceedings
- Expenses incurred to be paid out of the Fund
- Authority deemed to be a Scheduled Institution within the meaning of the Anti-Corruption Act
- Members, officers and employees of the Authority deemed to be public servants

PART XIII

TRANSITIONAL PROVISIONS

5 **80.** (1) Notwithstanding anything to the contrary in subsection (1) of section 20, any person carrying on a moneylending business on the day preceding the date of coming into operation of this Act-

Persons carrying on the business of moneylending to continue business for twenty four months

(a) may from the date of coming into operation of this Act, continue to carry on such business for a period of twenty- four months; and

10 (b) shall comply with the provisions of this Act and apply for a licence to continue his business as a licenced moneylender, after such date as may be specified by the Authority by notice published in the *Gazette*, calling for applications for licence under the Act.

15

(2) The date specified by the Authority under paragraph (b) of subsection (1) shall not be later than twelve months from the date this Act comes into operation.

20 **81.** (1) The Microfinance Act, No. 6 of 2016 is hereby repealed.

Repeal of the Microfinance Act

(2) Notwithstanding the repeal of the Microfinance Act, No. 6 of 2016, every regulation, notice, Order, direction, rule, guideline or directive issued, requirement imposed, determination or delegation made thereunder and in force on the day preceding the date this Act comes into operation shall in so far as such regulation, notice, Order, direction, rule, guideline, directive, requirement, determination or delegation is not inconsistent with the provisions of this Act, be deemed to be a regulation, notice, Order, direction, rule, guideline, directive, requirement, determination or

25

30

delegation issued, imposed or made, as the case may be, under the provisions of this Act.

- (3) With effect from the appointed date, all examinations initiated, or supervisory measures taken under the repealed Act and pending on the day immediately preceding the appointed date shall be deemed to be examinations conducted or being conducted or supervisory measures taken or being taken, as the case may be under this Act.

82. (1) (a) Any microfinance company licenced under the repealed Microfinance Act, No. 6 of 2016; or
 (b) any microfinance non-governmental organization registered under the repealed Microfinance Act, No. 6 of 2016, and compliant with subsection (3) of section 32 of this Act,
- Institutions
licenced
under the
Microfinance
Act deemed
to be licensed
under this Act

- which is carrying on microfinance business on the day preceding the date this Act comes into operation shall, with effect from the date this Act comes into operation be deemed to be a licenced microfinance institution licensed under section 32 of this Act.

- (2) Any microfinance non-governmental organization registered under the repealed Microfinance Act, No. 6 of 2016 shall continue to carry on microfinance business in its existing legal form for a period not exceeding twelve months from the date this Act comes into operation and comply with subsection (4) of section 32 of this Act within that period.

- (3) Any microfinance non-governmental organization registered under the repealed Microfinance Act, No. 6 of 2016 which fails to comply with subsection (2) shall be deemed to be a microfinance non-governmental organization of which registration has been cancelled.

(4) All actions, proceedings or matters instituted in terms of the repealed Microfinance Act, No. 6 of 2016 and pending in any court referred to therein on the day preceding the date this Act comes into operation shall from and after the date
5 this Act comes into operation be heard and determined by the said court in terms of the provisions of the repealed Microfinance Act, No. 6 of 2016.

83. In this Act, unless the context otherwise requires – Interpretations

10 “age of majority” shall have the same meaning assigned to it under the Age of Majority Ordinance (Chapter 66);

15 “Asian Development Bank” means the Asian Development Bank established under section 2 of the Asian Development Bank Agreement (Ratification) Act, No. 21 of 1966;

20 “associate company” shall have the meaning assigned to it under the Sri Lanka Accounting Standard (SLAS) 28 on Investment in Associates and Joint Ventures or any other similar accounting standard applicable in Sri Lanka from time to time;

“auditor” means –

25 (a) an individual who being a member of the Institute of Chartered Accountants of Sri Lanka or of any other Institute established by law, possesses a certificate to practice as an Accountant issued by the Council of such Institute; or

30 (b) a firm of Accountants each of the resident partners of which being a member of the Institute of Chartered Accountants of Sri Lanka or of any other Institute established by law possesses a certificate to practice as an Accountant issued by the Council of such Institute.

“borrower” means, a person to whom money is lent by a licensee;

5 “Central Bank” means, the Central Bank of Sri Lanka established under the Central Bank of Sri Lanka Act, No. 16 of 2023;

“close relations” means, the spouse, domestic partner, children, parents and siblings by blood or adoption;

10 “collateral deposit” means, a savings deposit obtained as a collateral from a borrower against a lending facility granted to such borrower;

“Credit Information Bureau of Sri Lanka” means, the Credit Information Bureau of Sri Lanka established under section 2 of the Credit Information Bureau of Sri Lanka Act, No. 18 of 1990;

15 “deposit” shall have the meaning assigned to it under the Finance Business Act, No. 42 of 2011 as may be amended from time to time;

20 “financial institution” shall have the same meaning assigned to it under the Central Bank of Sri Lanka Act, No. 16 of 2023;

25 “financial regulatory authority” means, any body corporate established by law to regulate and supervise a specific sector of the financial system of Sri Lanka, and includes the Central Bank of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, and the Insurance Regulatory Commission of Sri Lanka;

“holding company” shall have the same meaning assigned to it under the Companies Act, No. 07 of 2007;

- 5 “International Bank for Reconstruction and Development” means the International Bank for Reconstruction and Development established in pursuance of agreements drawn up at the United Nations Monetary and Financial Conference held at Bretton Woods in New Hampshire in the United States of America in July, 1944;
- 10 “International Development Association” means, the International Development Association established under the Schedule of the International Development Association Agreement Act, No. 7 of 1961;
- 15 “International Finance Corporation” means, the International Finance Corporation established under the Schedule of the International Finance Corporation Agreement Act, No. 28 of 1978;
- “key management personnel” means, a person having authority and responsibility for planning, directing and controlling the activities of any licensee directly or indirectly including any director;
- 20 “market conduct” means, the behaviour or conduct of participants of a market to carry out their business through sales, promotions, distributions, administration and similar kind of business activities;
- 25 “microfinance business” means, business of lending money at interest or in consideration of profit or loss arising from the proceeds of lending being shared between the lender and the borrower and provision of other financial services in conformity with the Schedule to this Act, to low income
- 30 persons and micro enterprises with the primary objective of social empowerment while maintaining sustainability of the lender and the borrower;

“microfinance institution” means, an institution licenced by the Authority under Part V of this Act to carry on the microfinance business;

5 “Minister” means, the Minister to whom the Microfinance and Credit Regulatory Authority of Sri Lanka is assigned under Article 44 or 45 of the Constitution;

10 “microfinance non-governmental organization” means, a non-governmental organization issued with a certificate of registration by the Registrar of Voluntary Social Service Organizations under subsection (3) of section 20 of the repealed Microfinance Act, No. 6 of 2016 or a non-governmental organization issued with a licence under subsection (6) of section 32 of this
15 Act;

“moneylender” means, any person who carries on or advertises or announces himself or holds himself out in any way as carrying on a moneylending business whether or not he carries on any other business;

20 “moneylending agreement” means, a written understanding between a licensee and a borrower which defines the terms and conditions applicable for sum of money lent by such licensee to such borrower and includes any amendment, addendum
25 and supplement thereto;

“moneylending business” means, lending of money at interest with or without security by a moneylender to a borrower whether or not such moneylender carries on any business and shall include lending
30 a sum of money in consideration of profit or loss arising from being shared between a moneylender and a borrower;

“office bearer” means, the president, vice president, secretary or treasurer or any other person holding a
35 similar office or position in a society;

“Registrar of Voluntary Social Services Organizations” means, the Registrar of Voluntary Social Services Organizations appointed under section 2 of the Voluntary Social Services Organizations (Registration and Supervision) Act, No. 31 of 1980;

5 “related company” means, a company which is related to another company if –

- (i) that company is the subsidiary or holding company of the other company;
- 10 (ii) the holding company of that company is also a holding company of the other; or
- (iii) that company is related to a company which is related to the other company;

15 “Securities and Exchange Commission of Sri Lanka” means, the Securities and Exchange Commission of Sri Lanka established under section 4 of the Securities and Exchange Commission of Sri Lanka Act, No. 19 of 2021;

20 “significant management interest” means, the controlling power over the control and management of a microfinance institution irrespective of shareholding by a director or a member of a senior or executive management –

- (a) directly;
- 25 (b) by general acceptance; or
- (c) through one or more of the following: -
 - (i) spouse;
 - (ii) child or spouse of a child;
 - (iii) grandchild or spouse of a grandchild;

(iv) any parent; or

(v) brother or sister and their spouses;

“society” means, a society registered under the Societies Ordinance (Chapter 123) or a society incorporated under an Act of Parliament;

“subsidiary company” shall have the same meaning assigned to the term in the Companies Act, No. 07 of 2007;

“substantial financial interest” means –

(a) in relation to a company, the holding of a beneficial interest by another company or an individual or his close relations whether singly or taken together in the shares thereof the paid up value of which exceeds ten *per centum* of the paid up capital of the company or the existence of a guarantee or indemnity for a sum not less than ten *per centum* of the paid up capital given by an individual or his close relations or by another company on behalf of such company; or

(b) in relation to a partnership, the beneficial interest held therein by an individual or his close relations whether singly or taken together which represents more than ten *per centum* of the total capital subscribed by all partners of the partnership or the existence of a guarantee or indemnity for a sum not less than ten *per centum* of that capital given by an individual or the spouse, parent or child of the individual on behalf of such partnership.

84. In the event of any inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Sinhala text
to prevail
in case of
inconsistency

SCHEDULE

[section 32]

A licenced microfinance institution may engage in the following business activities: -

- (a) provide financial accommodation, with or without collateral security, in cash or in kind, subject to such terms and conditions that the Authority may impose, for all types of economic activities;
- (b) providing limited savings facilities to borrowers, open, maintain and manage savings accounts, subject to limitations set out in rules made by the Authority and excluding however, the carrying on of banking business as defined in the Banking Act, No. 30 of 1988;
- (c) accept, pledge, mortgage, hypothecate or assign to it of any kind of movable or immovable property for the purpose of securing loans and advances made by it;
- (d) provide credit to buy, sell and supply industrial and agricultural inputs, livestock, machinery and industrial raw materials and to act as an agent for any organization for the sale of such industrial and agricultural inputs, livestock, machinery and industrial raw materials;
- (e) invest its monies prudently;
- (f) provide storage and safe custody facilities;
- (g) provide professional advice to its customers regarding investments in small business, self-employment projects and cottage industries;
- (h) provide services and facilities to customers to hedge various risks relating to microfinance;
- (i) render managerial, marketing, technical and administrative advice to customers and assisting them in obtaining services in such fields;
- (j) provide technical assistance and training to customers;
- (k) conduct pawn brokering after obtaining the necessary licence or approval from the relevant authority and on subject to such rules and regulations of such authority;

- (l) engage in hire purchase transactions under the Customer Credit Act, No. 29 of 1982 and on any condition imposed by the Authority;
- (m) provide microleasing facilities and microcredit insurance to borrowers subject to such directives as may be issued by the Authority for such purpose; and
- (n) any other business activity which the Authority may authorize licensed microfinance institutions to engage in.

